APEX TERMINAL | EQUITY RESEARCH

AAPL | BUY | 12M outlook

AAPL | Apple Inc. | Technology | Consumer Electronics

US listing (NASDAQ / NYSE) | USD | 12M outlook | report date 2026-10-26

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SYNTHETIC DATA - NOT FOR INVESTMENT USE

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Investment Summary

RATING	TARGET (12M)	IMPLIED UPSIDE	LAST PRICE
BUY	254.78 USD	+169.6%	94.50 USD

BUY | 12M | target 254.78 USD vs last close 94.50 USD (169.6% upside)

Apple Inc. (AAPL, NASDAQ / NYSE) operates in the Technology sector (Consumer Electronics) and last closed at 94.50 USD, inside a 52-week range of 65.00-105.00 (last close at 74% of the range). The company carries a market capitalisation of 12.50B USD. It employs approximately 164,000 people. Our 12M view is BUY with a target of 254.78 USD, which screens materially undemanding on our base case. The base case compounds revenue from 6.00B USD (last reported period) to 12.30B USD over 5 forecast years - a 15.4% CAGR - while the EBITDA margin moves from 36.7% in the first forecast year to 36.7% in the final year. Final-year free cash flow of 2.65B USD equals 58.8% of EBITDA, a 21.6% free-cash-flow margin that supports reinvestment and any capital returns. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 37.92B USD and equity value of 38.22B USD, implying 254.78 USD per share. The terminal value contributes 79.5% of enterprise value, so long-run assumptions dominate the estimate. At the current market price of 94.50 USD the implied WACC is 17.82% versus our stated 8.50% - the market demands a higher return than our stated cost of capital. On the latest reported balance sheet, net debt stands at -300.00M USD (-0.14x last-reported EBITDA), with return on invested capital at 27.7% and return on equity at 25.5%.

Company & Industry

Market cap	12.50B USD
Employees	164,000
Last close	94.50 USD
52-week range	65.00 - 105.00
Last reported period	2025-12-31

Business overview

Designs and markets smartphones, personal computers, tablets, wearables and accessories, and sells a range of related services. Every figure in this profile is generated deterministically in this browser for AAPL.

Industry context

Recurring-revenue metrics (ARR, net revenue retention, RPO) are not present in the dataset; growth and margin analysis relies on reported total revenue only. Sector-specific metrics a professional technology note would track: Revenue growth (available); Gross margin (available); Operating margin / operating leverage (available); Cash conversion (available); Recurring-revenue mix (ARR / NRR) (unavailable - not disclosed in the dataset).

Sector metrics a professional note would track

- Revenue growth: available
- Gross margin: available
- Operating margin / operating leverage: available
- Cash conversion: available
- Recurring-revenue mix (ARR / NRR): unavailable - not disclosed in the dataset

Financial Statements - Reported History

Financial performance

Reported coverage spans 2022-2025 (4 annual periods). In 2025 revenue was 6.00B USD (15.4% year on year), with gross margin 63.3%, operating margin 30.0%, EBITDA margin 36.7% and net margin 23.3%. Reported EBITDA was 2.20B USD and net income was 1.40B USD, with diluted EPS of 9.33 USD. Revenue moved by 800.00M USD (an increase) versus 2024, which on the reported statements reflects volume/mix and pricing in aggregate; the dataset does not decompose the change. EBITDA moved by 350.00M USD (an increase) over the same period. Return on invested capital was 27.7%, return on equity 25.5% and return on assets 16.5% in 2025. The latest balance sheet carries net debt of -300.00M USD with a current ratio of 1.94. Free cash flow in the latest period was 1.30B USD; operating cash flow was not available.

Income statement

Period	Revenue	Gross profit	Operating income	EBITDA	Net income	EPS
2025	6.00B	3.80B	1.80B	2.20B	1.40B	9.33
2024	5.20B	3.25B	1.50B	1.85B	1.17B	7.80
2023	4.50B	2.80B	1.30B	1.60B	1.01B	6.73
2022	3.90B	2.40B	1.10B	1.35B	850.00M	5.67

Source: All figures in USD. Synthetic local fixture.

Balance sheet

Period	Total assets	Cash	Total debt	Equity	Net debt
2025	8.50B	1.50B	1.20B	5.50B	-300.00M
2024	7.50B	1.20B	1.00B	5.00B	-200.00M
2023	6.80B	1.00B	900.00M	4.55B	-100.00M
2022	6.00B	850.00M	900.00M	3.90B	50.00M

Source: All figures in USD. Synthetic local fixture.

Cash-flow statement

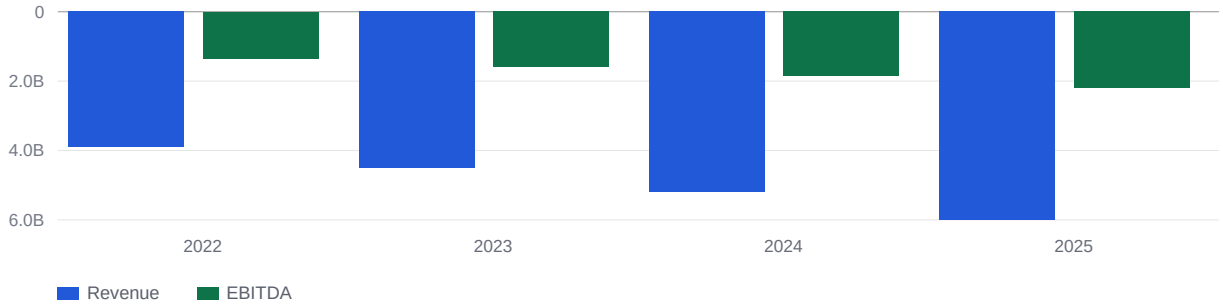
Period	Operating CF	Capex	Free cash flow
2025	1.80B	-500.00M	1.30B
2024	1.50B	-400.00M	1.10B
2023	1.30B	-350.00M	950.00M
2022	1.10B	-300.00M	800.00M

Source: All figures in USD. Synthetic local fixture.

Key ratios

Period	Rev growth	Gross margin	Op margin	Net margin	ROIC	FCF
2025	15.4%	63.3%	30.0%	23.3%	27.7%	1.30B
2024	15.6%	62.5%	28.8%	22.5%	25.0%	1.10B
2023	15.4%	62.2%	28.9%	22.4%	23.4%	950.00M
2022	-	61.5%	28.2%	21.8%	22.3%	800.00M

Source: Derived from reported statements. Nulls preserved where data is missing.



Source: Reported revenue and EBITDA (USD).

Base-Case Forecast

Year	Revenue	EBITDA	EBIT	Net income	FCF	Shares
Y2026	6.93B	2.54B	2.08B	1.62B	1.48B	150.00M
Y2027	8.00B	2.93B	2.40B	1.88B	1.71B	150.00M
Y2028	9.23B	3.38B	2.77B	2.18B	1.98B	150.00M
Y2029	10.66B	3.91B	3.20B	2.52B	2.29B	150.00M
Y2030	12.30B	4.51B	3.69B	2.91B	2.65B	150.00M

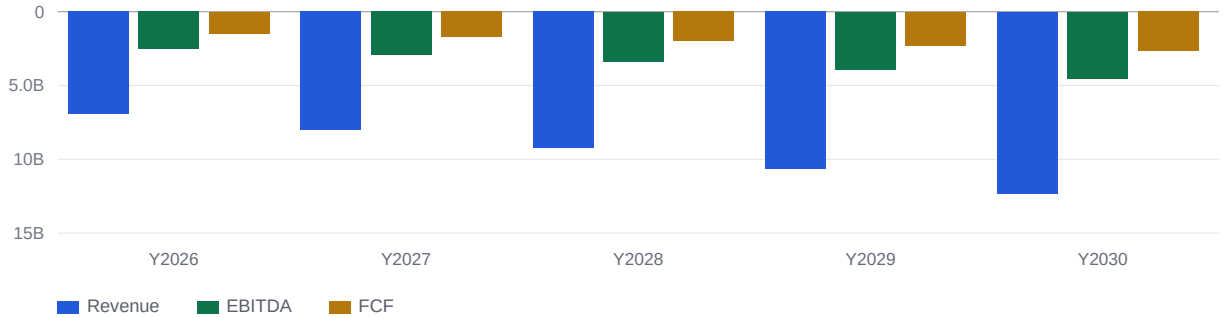
Source: Forecast figures in USD. Deterministic model output.

Revenue CAGR	15.4%
Final revenue	12.30B USD
Final EBITDA	4.51B USD
Final free cash flow	2.65B USD
Balance-sheet identity	Balanced in every year

Forecast drivers (documented assumptions)

Revenue Growth	15.44%
Gross Margin	63.33%
Opex Ratio	33.33%
Tax Rate	20.00%
Da Pct	6.67%
Capex Pct	8.33%
Nwc Pct	3.33%
Interest Rate	4.17%
Dividend Payout	30.00%
Excess Cash Sweep	0.00%
Share Dilution	0.00%

9 of 11 drivers are derived from reported history; the remainder are documented engine defaults or user inputs (per-driver sources in the provenance table).



Source: Forecast revenue, EBITDA and free cash flow (USD).

Valuation - Discounted Cash Flow

Valuation view

The DCF discounts 5 annual free cash flows at 8.50%. Present value of explicit cash flows is 7.78B USD; present value of the terminal value is 30.14B USD. Enterprise value of 37.92B USD bridges to equity value of 38.22B USD via net cash of 300.00M USD, implying 254.78 USD per share. That implies an EV/EBITDA multiple of 8.4x on final-year EBITDA of 4.51B USD. The WACC-versus-terminal-growth grid brackets a value-per-share range of 172.07-502.29; sensitivity analysis maps the model's response to assumptions - it does not remove uncertainty. Reverse DCF: at the current market price of 94.50 USD the implied WACC is 17.82% versus our 8.50% - the market demands a higher return than our stated cost of capital. Implied exit multiple on final-year EBITDA: 8.4x.

WACC build-up (CAPM, documented defaults)

Risk-free rate	4.00%
Equity beta	1.00
Market risk premium	5.50%
Cost of equity (Rf + beta x MRP)	9.50%
Pre-tax cost of debt	6.00%
Tax rate	25.00%
After-tax cost of debt	4.50%
Equity / debt weight	70% / 30%
WACC applied	8.50%

Free cash flows and discounting

Year	Free cash flow	Discount factor	Present value
Y1	1.48B	0.9217	1.36B
Y2	1.71B	0.8495	1.45B
Y3	1.98B	0.7829	1.55B
Y4	2.29B	0.7216	1.65B
Y5	2.65B	0.6650	1.76B

Enterprise-to-equity bridge

PV of explicit cash flows	7.78B USD
PV of terminal value	30.14B USD
Terminal value share of EV	79.5%
Enterprise value	37.92B USD
Net cash	300.00M USD
Equity value	38.22B USD
Shares outstanding	150.00M
Value per share	254.78 USD
Implied exit multiple on final EBITDA	8.4x
Implied upside vs last price	169.6%

Sensitivity - WACC vs terminal growth

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	319.02	349.56	387.74	436.84	502.29
7.5%	263.78	283.84	307.92	337.34	374.12
8.5%	224.40	238.42	254.78	274.12	297.32
9.5%	194.93	205.18	216.90	230.41	246.18
10.5%	172.07	179.82	188.54	198.42	209.72

Source: Value per share (USD). Sensitivity maps model response to assumptions; it does not remove uncertainty.

Reverse DCF at the current market price

At a market price of 94.50 USD the implied WACC is 17.82%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

Scenario analysis

Bull: Bull case: target of 293.00 USD (+15% versus base) if revenue growth runs ahead of the 15.4% path and the terminal margin holds at 36.7%.

Base: Base case: target of 254.78 USD on 15.4% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 216.57 USD (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

Risks & Catalysts

Strengths

- Revenue compounding of 15.4% CAGR on the base case, with EBITDA margin at 36.7% by the final forecast year.
- Cash generation: 58.8% of final-year EBITDA converts to free cash flow (2.65B USD), self-funding reinvestment or capital returns.
- Net cash of 300.00M USD provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.
- Return on invested capital of 27.7% in 2025 indicates value-accretive reinvestment at the reported level.
- Revenue scale of 6.00B USD provides operating leverage and absorbs fixed costs through the cycle.
- Gross margin of 63.3% leaves room to absorb input-cost inflation without hitting operating profit.
- Return on equity of 25.5% indicates efficient use of shareholder capital.
- Earnings are positive and compounding alongside revenue growth, with diluted EPS of 9.33 USD.
- Double-digit modelled revenue growth of 15.4% outpaces a low-single-digit nominal GDP benchmark.

Risks

Terminal-value dependence

Exposure: The present value of the terminal value is 79.5% of enterprise value.
Impact: Small changes to the discount rate or long-run growth swing the target materially.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Scenario: Value per share across the sensitivity grid ranges 172.07-502.29.
Basis: fact

Growth execution

Exposure: The base case assumes 15.4% revenue CAGR.
Impact: A deceleration compresses both the cash-flow base and the applied multiple.
Monitoring metric: Reported revenue growth versus the forecast path
Scenario: Bear case assumes growth runs below plan (see scenarios).
Basis: inference

Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.
Impact: No conclusion in this report should be relied upon as a description of any real company.
Monitoring metric: Data-status label on the cover of this report
Basis: fact

Missing sector-specific evidence

Exposure: Recurring-revenue mix (ARR / NRR) are not available in the dataset.
Impact: Sector-specific failure modes cannot be quantified.
Monitoring metric: Disclosure of unavailable metrics in the industry section
Basis: fact

Wide valuation dispersion

Exposure: The sensitivity grid spans 129.6% of the base-case value per share.
Impact: Small assumption changes move the target by a material margin.

Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid

Basis: fact

Catalysts

Revenue upside versus plan

Event: Reported revenue tracking above the 15.4% base-case path

Timing: Next reported annual period; exact timing is unknown

Grounding: Each point of revenue upside converts at the 36.7% terminal-year EBITDA margin.

Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions

Timing: Timing unknown; requires board action

Grounding: Net cash of 300.00M USD on the latest balance sheet would fund returns without new leverage.

Multiple re-rating

Event: Market multiple moving toward the model-implied 8.4x exit level

Timing: Timing unknown

Grounding: The DCF embeds a 8.4x exit multiple on final-year EBITDA of 4.51B USD.

Operating leverage

Event: Operating margin expands as fixed costs are absorbed by a larger revenue base

Timing: Progressive across the forecast horizon

Grounding: The model holds the opex ratio at 33.3% while revenue compounds, so incremental revenue largely drops to operating profit.

Model Quality & Integrity Review

> **Conviction: LOW**
>
> Conviction is constrained by synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage spans 2022-2025 (4 annual periods). Sector metrics unavailable: Recurring-revenue mix (ARR / NRR). Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions (9 derived from reported history): revenue growth 15.44%; gross margin 63.33%; opex ratio 33.33%; tax rate 20.00%; da pct 6.67%; capex pct 8.33%. Drivers derived from reported history: revenue growth, gross margin, opex ratio, tax rate; remaining drivers are documented engine defaults or user inputs.

Automated checks

Balance-sheet identity	Pass
DCF produced a value	Yes
Valuation warnings	0
Integrity errors (blocking)	0
Integrity warnings	1

Validation detail

[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic sample data).

Sources & Methodology

Data sources (numbered)

#	Metric	Value	Period	Status	Source
1	Revenue	6,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
2	Revenue growth	0.15	2025-12-31	derived	APEX local deterministic fix
3	Gross margin	0.63	2025-12-31	derived	APEX local deterministic fix
4	Operating margin	0.3	2025-12-31	derived	APEX local deterministic fix
5	Net income	1,400,000,000	2025-12-31	synthetic	APEX local deterministic fix
6	EBITDA	2,200,000,000	2025-12-31	synthetic	APEX local deterministic fix
7	Free cash flow	1,300,000,000	2025-12-31	synthetic	APEX local deterministic fix

#	Metric	Value	Period	Status	Source
8	Net debt	-300,000,000	2025-12-31	derived	APEX local deterministic fix
9	Diluted EPS	9.33	2025-12-31	synthetic	APEX local deterministic fix
10	Shares outstanding	150,000,000	2025-12-31	synthetic	APEX local deterministic fix
11	Assumption: revenue growth	0.154416	forecast horizon	derived	Derived from reported revenu
12	Assumption: gross margin	0.633333	forecast horizon	derived	Derived from reported gross
13	Assumption: opex ratio	0.333333	forecast horizon	derived	Derived from reported operat
14	Assumption: tax rate	0.2	forecast horizon	derived	Derived from reported tax ex
15	Assumption: da pct	0.0666667	forecast horizon	derived	Derived from reported deprec
16	Assumption: capex pct	0.0833333	forecast horizon	derived	Derived from reported capex
17	Assumption: nwc pct	0.0333333	forecast horizon	derived	Derived from reported (curre
18	Assumption: interest rate	0.0416667	forecast horizon	derived	Derived from reported intere
19	Assumption: dividend payout	0.3	forecast horizon	assumption	Engine default (documented a
20	Assumption: excess cash sweep	0	forecast horizon	assumption	Engine default (documented a
21	Assumption: share dilution	0	forecast horizon	derived	Derived from reported share
22	DCF value per share	254.78	valuation date	derived	APEX local deterministic fix
23	WACC	0.09	valuation date	assumption	APEX local deterministic fix
24	Enterprise value	37,917,395,293	valuation date	derived	APEX local deterministic fix

Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation: unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

Peer set — None supplied (comparables omitted)

Conclusion

On the evidence supplied we are constructive. The thesis would be strengthened by revenue tracking at or above 15.4%, cash conversion holding near 58.8% of EBITDA, ROIC sustained above 27.7%, healthy gross margins, a net-cash balance sheet; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic sample data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

Investment thesis

Apple Inc. offers Technology exposure (Consumer Electronics) with a 15.4% modelled revenue CAGR, a terminal-year EBITDA margin of 36.7% and 58.8% EBITDA-to-FCF conversion on the base case. Revenue scales from 6.00B USD to 12.30B USD across the forecast horizon, while the mechanical rating of BUY reflects 169.6% upside versus the 94.50 USD last close. The balance sheet carries 300.00M USD of net cash (0.14x last-reported EBITDA). The conviction basis is described below.

Thesis drivers

- Growth: revenue CAGR of 15.4% from 6.00B USD to 12.30B USD across the forecast horizon.
- Margins: EBITDA margin of 36.7% rising to 36.7%, consistent with operating leverage on the modelled cost base.
- Cash conversion: final-year free cash flow of 2.65B USD, 58.8% of EBITDA.
- Balance sheet: net cash of 300.00M USD at 0.14x EBITDA limits financial risk premium.
- Valuation: DCF value of 254.78 USD per share versus a 94.50 USD market price (169.6% upside).

Disclaimer

This report was produced by the APEX deterministic research engine running locally. All figures are model outputs derived from the stated inputs; they are not audited company disclosures and no investment advice is intended or implied.